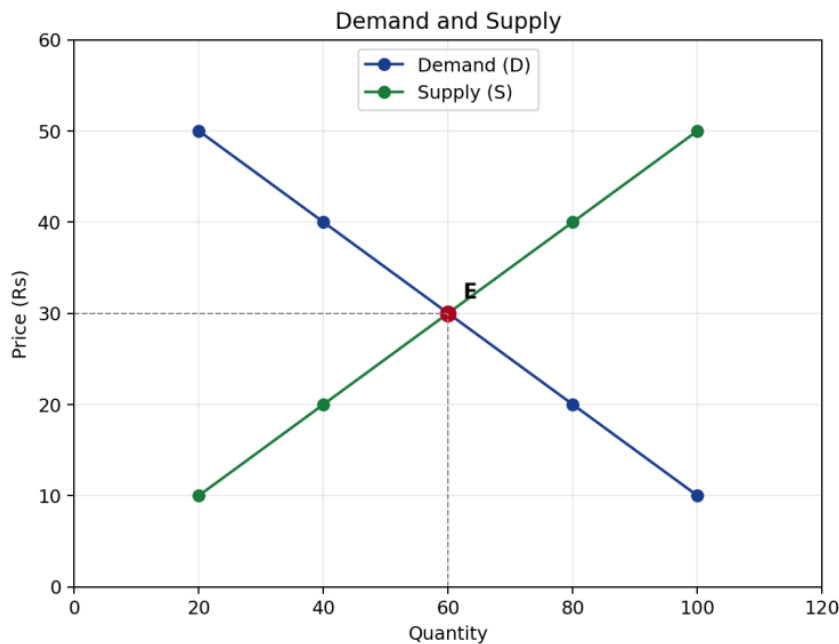


GradeSense - Answer Sheet

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Q3. Economics (5 marks)

From the table we can make demand and supply graph, with quantity on x axis and price on y axis. Demand curve go downward because when price increase people buy less, and supply curve go upward because producer want to sell more when price is high.



The two curve meet at price Rs 30 and quantity 60 unit, this is called equilibrium point because at this price the qty demand and qty supply is same.

If price is below equilibrium then demand is more than supply, this is called shortage, and price will start increasing due to this. If price is above equilibrium also something will happen in the market.

If cost of production increase then producer will get more profit so they will supply more at the same price, so the supply curve will shift to the right/downward, and new equilibrium will be at lower price and higher qty.